

CANADA BREAD COMPANY, LIMITED

EXECUTIVE COMPENSATION STATEMENT
MAY 15, 2014

STATEMENT OF EXECUTIVE AND DIRECTOR COMPENSATION

GOVERNANCE PROCESS

General

The Governance Committee of Canada Bread Company, Limited ("Canada Bread" or the "Corporation") serves as its compensation committee.

The Chief Executive Officer ("CEO") of the Corporation is also the Chief Operating Officer, Food Group, Maple Leaf Foods Inc. ("Maple Leaf Foods"), and the Chief Financial Officer ("CFO") of the Corporation is also the Chief Financial Officer of Maple Leaf Foods. Compensation decisions regarding the CEO and CFO, in the first instance, are made by the Board of Directors of the Corporation (the "Board") and the Human Resources and Compensation Committee of Maple Leaf Foods and then reviewed with the Governance Committee (in this Statement, the "Committee") of Canada Bread.

The Committee determines the compensation for its other Named Executive Officers ("NEOs") directly. The Corporation's senior employees participate in the equity compensation arrangements of Maple Leaf Foods and decisions regarding levels of participation are made after receiving the recommendation of Canada Bread's CEO.

The Committee reviews all other matters related to employee compensation for the Corporation as a whole, including pension, benefits, equity compensation and incentive plans. In all cases, the compensation systems and philosophy for the Corporation are coordinated with those of Maple Leaf Foods and allow for the free movement of executives and staff between them.

Governance Committee

During 2013 the Committee consisted of three directors, John F. Petch (Chairman), William E. Aziz and Sarah A. Everett, all of whom are independent within the meaning of applicable securities laws and experienced with executive compensation or leadership matters through executive management and service on compensation committees of other public companies. Mr. Aziz resigned from the Board of Directors and the Committee on March 7, 2014.

Experience of Committee Members

Mr. Aziz, who resigned on March 7, 2014, is a member of the Human Resources Committee of the $56 billion Ontario Municipal Employees' Retirement System (OMERS). In addition, he has prior relevant experience as the Chair of the Governance and Nominating Committee at Tecumseh Products Company in Ann Arbor, Michigan where executive compensation was considered, and has acted in senior executive roles where he dealt extensively with issues of compensation, transition, succession and governance.

Ms. Everett has gained executive compensation experience as result of being a director and Chair of the Executive Committee, Royal Canadian Securities Limited and being the former Chair, Tereve Holdings Ltd which operated the Bowrings chain of retail stores. Ms. Everett is also the former President and owner/operator of Domo Gasoline Corporation Ltd.

Mr. Petch is Chairman of the Governance Committee. He was Vice-Chair of a major Canadian law firm as well as Chair of St. Michael's Hospital and the University of Toronto. His executive compensation experience comes from having served on a number of public company boards of directors. He has served on the Human Resources and Governance Committee of Andrew Peller Limited and the Compensation Committee of ShawCor Ltd., both listed on the Toronto Stock Exchange.

COMPENSATION DISCUSSION AND ANALYSIS

This discussion and analysis aims to help readers understand how the Corporation uses compensation to motivate and reward senior executives.

Compensation Philosophy
The Corporation's compensation package is designed to achieve four objectives:

- to attract and retain executive talent;
- to align individual performance with corporate goals and objectives;
- to align the motivations of executives with the best interests of shareholders; and,
- ultimately to reward executives for building sustainable shareholder returns.

The compensation package has four components, each with a different function:

1. Base salary;
2. An annual bonus or short-term incentive plan ("STI");
3. A long-term equity-based incentive plan ("LTIP"); and,
4. Benefits and retirement programs.

The combination of fixed salary and variable incentives for each executive position reflects the capacity of the individual to influence business results over the short and long term: the more senior the position, the higher the proportion of compensation based on variable incentives and the more significant the portion of pay at risk. The CEO's compensation has the highest proportion of variable pay given his role as strategic leader. The incentive package is also heavily weighted to the equity-based LTIP, which encourages long-term strategic thinking. In fact, the LTIP provides an executive with the most potential to improve his or her total compensation package.

The compensation of every executive is based on a comprehensive evaluation of performance. This includes an assessment of performance against objectives as well as adherence to the Corporation's values. The Board establishes objectives each year based on key strategic priorities ("Board Goals"). Board Goals apply to business units, functions and the Corporation as a whole. Subsets of the Board Goals become individual goals for NEOs and other executives. While achieving Board Goals is not included in the formula for determining short-term incentive pay, it is a key factor in assessing individual performance and in aligning compensation.

Risks associated with Compensation Plans
The Board and the Committee assess the compensation programs to ensure that they do not promote decisions or behavior not in the best interests of the Corporation. To avoid excessive costs to the Corporation and excessive compensation to executives, all annual bonuses have maximum payout amounts. All non-recurring, unusual or other items that impact earnings are considered when assessing performance and determining short-term and long-term incentive payments. NEOs might be required to return short-term incentive payments if results are restated.

Benchmarking Compensation and Peer Groups
The Corporation targets executive compensation at the median of the peer group for base salary and incentives (short-term and long-term), while recognizing and rewarding performance and contribution through above-median salary and variable compensation.

Benchmarking Compensation for the CEO & CFO
Three comparator groups have been used by Maple Leaf Foods to benchmark compensation for the CEO and CFO who are the Chief Operating Officer, Food Group and Chief Financial Officer of Maple Leaf Foods, respectively. This benchmark data is collected from Canadian and American companies, which is the marketplace in which the Corporation competes to retain and recruit talented executives. Also influencing the choice of peer companies is the complexity of the Corporation's operations and the much larger size of many peers. Given this landscape, there are three groups of companies to benchmark CEO and CFO compensation.

Comparator Group 1: Full Industry Specific Group
The first group comprises the companies in the S&P Food Index. This index includes companies from Standard and Poor's three major U.S. indices: the S&P 500, S&P Midcap 400 and S&P 600 Smallcap. This peer group also includes relevant Canadian companies in the food products industry who are within a reasonable size range, compete for the same customers with similar products, and compete with Maple Leaf Foods for talent.

Comparator Group 1: Full Industry Specific Group			
S&P Food Index	Archer Daniels Midland Company	The Hain Celestial Group, Inc	McCormick & Co. Incorporated
(Food Products)	B&G Foods Inc.	The Hershey Company	Mead Johnson Nutrition Company
	Calavo Growers Inc.	The Hillshire Brands Company	Post Holdings Inc.
	Cal-Maine Foods, Inc.	Hormel Foods Corporation	Sanderson Farms, Inc.
	Campbell Soup Co.	Ingredion Incorporated	Seneca Foods Corporation
	ConAgra Foods, Inc.	J&J Snack Foods Corp.	Smithfield Foods Inc.
	Darling International Inc.	The J.M. Smucker Company	Snyder's-Lance, Inc
	Dean Foods Company	Kellogg Company	Tootsie Roll Industries
	Diamond Foods, Inc.	Kraft Foods Group, Inc.	Treehouse Foods, Inc.
	Flowers Foods, Inc.	Lancaster Colony Corporation	Tyson Foods Inc.
	General Mills, Inc.		
	Green Mountain Coffee Roasters, Inc.		
Canadian Comparators	Cott Corporation	George Weston Limited	Saputo, Inc.

Comparator Group 2: Tailored Industry Specific Group

A second group excludes companies from the S&P Food Index with annual revenue greater than four (4) times or less than one-quarter (¼) Maple Leaf Foods' annual revenue. In 2013, this created a group of 23 companies of more comparable size and scope.

Comparator Group 2: Tailored Industry Specific Group			
S&P Food Index	Campbell Soup Co.		
(Food Products)	ConAgra Foods, Inc.	The Hershey Company	Sanderson Farms, Inc.
	Darling International Inc.	Hormel Foods Corporation	Seneca Foods Corporation
	Dean Foods Company	The Hillshire Brands Company	Smithfield Foods Inc.
	Flowers Foods, Inc.	Ingredion Incorporated	Snyder's-Lance, Inc.
	General Mills, Inc.	Kellogg Company	The J.M. Smucker Company
	Green Mountain Coffee Roasters	McCormick & Co. Incorporated	Treehouse Foods, Inc.
	The Hain Celestial Group, Inc.	Mead Johnson Nutrition Company	
Canadian Comparators	Cott Corporation	Saputo, Inc.	

Comparator Group 3: Canadian General Industry

Information about compensation policies and packages at Canadian companies with annual revenue comparable to Maple Leaf Foods is incorporated into the benchmarking process to provide additional perspective.

Benchmarking Compensation for NEOs (excluding the CEO & CFO)

The comparator groups used to benchmark compensation for the NEOs other than the CEO and CFO are listed below.

Position	**Comparator Group**	**Benchmark Data(1)**
President, Fresh Bakery	Canadian Comparators	Canadian Mercer Benchmark Database for companies with revenue between $500 million and $2 billion
	US Comparators	Mercer US Benchmark Database for companies with revenue between $500 million and $2.5 billion
President, Frozen Bakery	Canadian Comparators	Canadian Mercer Benchmark Database for companies with revenue between $250 million and $1.25 billion
	US Comparators	Mercer US Benchmark Database for companies with revenue between $100 million and $1 billion
President, Maple Leaf Bakery UK	UK Comparators	Mercer Total Remuneration Survey ("TRS") for the UK

Note:

(1) Mercer, the provider of the database, has advised that it cannot disclose the identity of actual organizations within a specific revenue range due to confidentiality covenants with survey participants.

ELEMENTS OF COMPENSATION

The four main components of the Corporation's executive compensation program are referred to as "Total Direct Compensation".

Base Salary

The median (50th percentile) base salary in each comparator group provides a context for setting the base salaries of the NEOs. A number of other factors are then considered to make adjustments, which include:

a) An evaluation of the executive's responsibility, experience, contribution and performance during the year;
b) The financial performance of the Corporation, including its ability to absorb costs;
c) Market trends related to base salaries; and,
d) The Committee's assessment of internal equity between positions of similar scope.

The weight given to each factor is not defined by a fixed formula; the Committee uses its business judgment. The annual salary adjustment date is the start of the pay period in which July 1st occurs.

Short-term Incentive ("STI")

The Corporation's annual STI plan links executive pay to the achievement of annual business objectives. The award is at risk and paid only if the objectives are met.

The amount of STI awarded depends on performance. Performance exceeding established goals will lead to above-target payments. Performance below established goals will lead to below-target payments, which can be zero if goals are not substantially achieved. The award is paid in cash.

STI payments are based on earnings before tax adjusted for the impact of restructuring and other related costs ("Adjusted EBT") compared to budget. The target Adjusted EBT and minimum acceptable performance for triggering an STI payout is reviewed annually.

In 2013, 100% of the STI for all NEOs as well as other executives of the Corporation was tied to the achievement of business objectives. This created 100% alignment between STI compensation and shareholder interests. These executives also establish individual goals, but achieving these goals does not influence their STI payments. The STI payments to employees below the executive level include an individual performance component.

There are three potential components of an employee's STI payment:

- Maple Leaf Foods team result: The performance of Maple Leaf Foods is a component of the payment received by every employee participating in the STI plan;
- Business Unit team result: The payment to STI participants with specific business unit responsibilities might also reflect the performance of their business unit(s); and
- Individual result: Payments to STI participants below the executive level will also reflect performance against personal goals. The personal goals are business related and reflect objectives over which the participant has direct control.

The table below summarizes the target range and weighting of team versus individual objectives. These weights took effect January 1, 2013 to balance the Maple Leaf Foods' team result and the business unit team result. This increased the alignment of all employees covered by the STI plan with the success of Maple Leaf Foods, which includes the Corporation.

COMPONENTS OF THE 2013 STI PLAN

	Target Payout Ranges – As a % of Base Salary for Various Performance Levels				Weightings of Components		
	Below Threshold Performance	At Threshold Performance	At Target Performance	At Maximum Performance	MLF Team %	BU Team %	Individual %
NEOs							
CEO and CFO	0%	35%	80%	125%	100%	–	–
Presidents	0%	25%	60%	95%	50%	50%	–
Other Executives	0%	10%	35%	60%	50%	50%	–
Below Executive	0%	2% ~ 10%	6% ~ 25%	10% ~ 40%	37.5%	37.5%	25%

Claw-Back
The Board can ask an executive to give all or a portion of an STI payment back to the Corporation if the STI amount was based on financial results that are subsequently restated and the payment would have been lower had the financial results been properly reported. The restatement must be due entirely or partially to gross negligence, intentional misconduct or fraud. The decision to exercise this right is at the discretion of the Board.

Long-term Incentive Plan ("LTIP")
The goal of the LTIP is to retain effective executives and attract new talent. Similar to the STI plan, it is also based on performance and is, therefore, at risk.

LTIP payouts for grants from 2010 or earlier are based on Maple Leaf Foods' Total Shareholder Return ("TSR") relative to the total return for the S&P Food Index over three years. The TSR is the total gain or loss to a shareholder arising from the change in the Maple Leaf Foods share price plus dividends paid.

The LTIP was changed in 2011 to strengthen the alignment between the long-term interests of executives and shareholders by linking awards to the achievement of the Maple Leaf Foods value creation plan. The LTIP for NEOs now comprises 25% Restricted Share Units ("RSUs"), 25% Performance Share Units ("PSUs") and 50% time-vested stock options ("Options").

The number of RSUs, PSUs and Options awarded to an executive is based on four factors:

- an assessment of individual performance and potential;
- the expected value of similar awards at the median and the 75th percentile in the benchmark groups;
- the expected value of the award; and,
- the amount of previous grants.

The number and value of the RSUs, PSUs and Options awarded considers the performance of the executive and could be higher or lower than the benchmark median. Executives who tend to deliver superior performance will tend to receive above-median awards.

RSUs are time vested over three years. For each RSU granted, one common share is awarded on maturity.

PSUs are performance-vested based on cumulative results as measured by two metrics over a three (3) calendar year period for Maple Leaf Foods as a whole, including the results of Canada Bread:

- 80% weighting on Return on Net Assets ("RONA"); and
- 20% weighting on Earnings before Interest Taxes Depreciation and Amortization ("EBITDA") margin.

The performance period for the January 2013 award comprises the calendar years 2013, 2014 and 2015. Threshold, Target and Maximum performance levels are based on Maple Leaf Foods' 2013 budget commitments, as well as the EBITDA margin targets for 2014 and beyond. The cumulative targets for PSUs granted in January 2013 are included in the following table.

Performance Level Average 2013-15	Threshold	Target	Maximum
RONA (80%)	10.2%	12.8%	14.0%
EBITDA Margin (20%)	9.2%	10.6%	11.4%

Vesting of PSUs is based solely on achieving the cumulative performance target over the three (3) year period. The number of PSUs will be prorated for performance between levels with one common share awarded for each PSU that vests. The percentages of the PSUs that will vest at various levels of performance are as follows:

- Below threshold: 0%;
- At threshold: 50%;
- At target: 100%; and,
- At or above maximum: 200%.

The options granted in 2013 are time vested. One third (1/3) of the options awarded will vest each year. The exercise price is the weighted average trading price of the Maple Leaf Foods common shares on the Toronto Stock Exchange ("TSX") for the five (5) days prior to the date of grant. The options granted in 2013 have a term of seven (7) years.

The implementation of PSUs and RSUs that vest over three years and options with seven-year terms balance relatively frequent rewards for performance and longer-term strategic behaviour that is designed to deliver sustainable earnings improvement and shareholder returns.

Actual compensation received depends on the share price at the time the RSUs and PSUs vest, as well as the share price at the time vested options are exercised.

All RSUs and PSUs granted in 2013 that have vested will be distributed as shares in May 2016 unless otherwise determined by the Board and the Human Resources and Compensation Committee of Maple Leaf Foods. Shares required for distributions are purchased on the TSX by a trust established for the purpose. This is done to avoid diluting shareholder interest.

Policy on Hedging LTIPs

The Corporation's insider trading policy prohibits NEOs and other executives from entering into call and put options, including options intended to hedge or offset the effect of a decline in market value of LTIP awards. Executives are not otherwise prohibited from purchasing financial instruments as a hedge.

2013 Total Direct Compensation Mix

The table below shows the mix of compensation for NEOs and other executives in 2013 at the target levels for each direct compensation element.

2013 Compensation(1) As a Percentage of Total Direct Compensation(2)

	Variable Compensation	Non-Variable (Fixed) Compensation
CEO(3)	79%	21%
CFO(3)	73%	27%
President, UK Bakery	49%	51%
President, Frozen Bakery	55%	45%
President, Fresh Bakery	64%	36%

Notes:

(1) In this table, compensation amounts are calculated assuming target performance is achieved.

(2) Includes base salary, STI and LTIP at the expected value. The amounts in the table were calculated including the LTIP award granted January 2013.

(3) Mr. Lan is CEO of the Corporation as well as Chief Operating Officer, Food Group, Maple Leaf Foods. Mr. Vels, the CFO of the Corporation, is also CFO of Maple Leaf Foods. Their compensation is paid by Maple Leaf Foods, with a portion borne by the Corporation through a shared services agreement.

Indirect Compensation

Benefits and Perquisites

Benefits and perquisites are not intended to form a significant part of overall compensation. Executives are provided the same group insurance benefits as other salaried employees. Benefits and perquisites are provided in accordance with a written policy and selected on the basis of cost effectiveness.

Perquisites include a car benefit, annual medical examination and a lump sum allowance toward reimbursement of a club membership and financial counseling. The total value of benefits and perquisites for each NEO is below the lesser of $50,000 and 10% of their base salary.

The Corporation has a tax equalization policy to reimburse employees for any net additional taxes that result from work in a foreign jurisdiction. Under the policy, the tax cost associated with travel to and accommodation at the distant location for the purpose of work is also reimbursed.

Retirement Income/Savings Arrangements

Pension benefits provided to executives are non-discriminatory, which means that NEOs participate in the pension arrangements available to substantially all of the Corporation's salaried employees. The Corporation provides 100% of NEO contributions to the plan. Employees with annual salaries that exceed the maximum amount against which they can contribute to registered plans under the *Income Tax Act* (Canada) contribution limits can also participate in supplemental retirement arrangements. Annual cash STI payments are excluded from retirement programs.

The Corporation has long recognized the risk associated with defined benefit pension plans. As a result, these plans have been closed to new employees since April 2004. Employees who belonged to those plans prior to April 2004 and elected to remain in the plan continue to accrue benefits.

McCain Capital Arrangements with Richard Lan

The Corporation understands that Mr. Richard Lan, a NEO, is an officer and director of McCain Capital Inc. ("MCI"), Maple Leaf Foods' largest shareholder, and that prior to December 2011, Mr. Lan was an officer, director and shareholder of McCain Capital Corporation ("MCC"), the predecessor to MCI. The Corporation has been informed that Mr. Lan has received, and continues to receive, compensation from MCI for the services Mr. Lan provides to MCI and Mr. Lan previously received compensation from MCC for the services Mr. Lan provided to MCC. The compensation paid by MCC and MCI to Mr. Lan, respectively, was and is, at their sole cost and discretion. Neither the Maple Leaf Foods board of directors nor its compensation committee nor the Corporation nor any of its committees had any involvement in either granting or approving such compensation. Maple Leaf Foods and its board and compensation committee and the Corporation believe that the compensation that Maple Leaf Foods has provided and continues to provide to Mr. Lan (excluding the compensation from MCC and MCI) fully and adequately compensates Mr. Lan for the position he holds with Maple Leaf Foods and the position he holds with the Corporation.

Compensation Arrangements entered into in Connection with the Sale of the Corporation

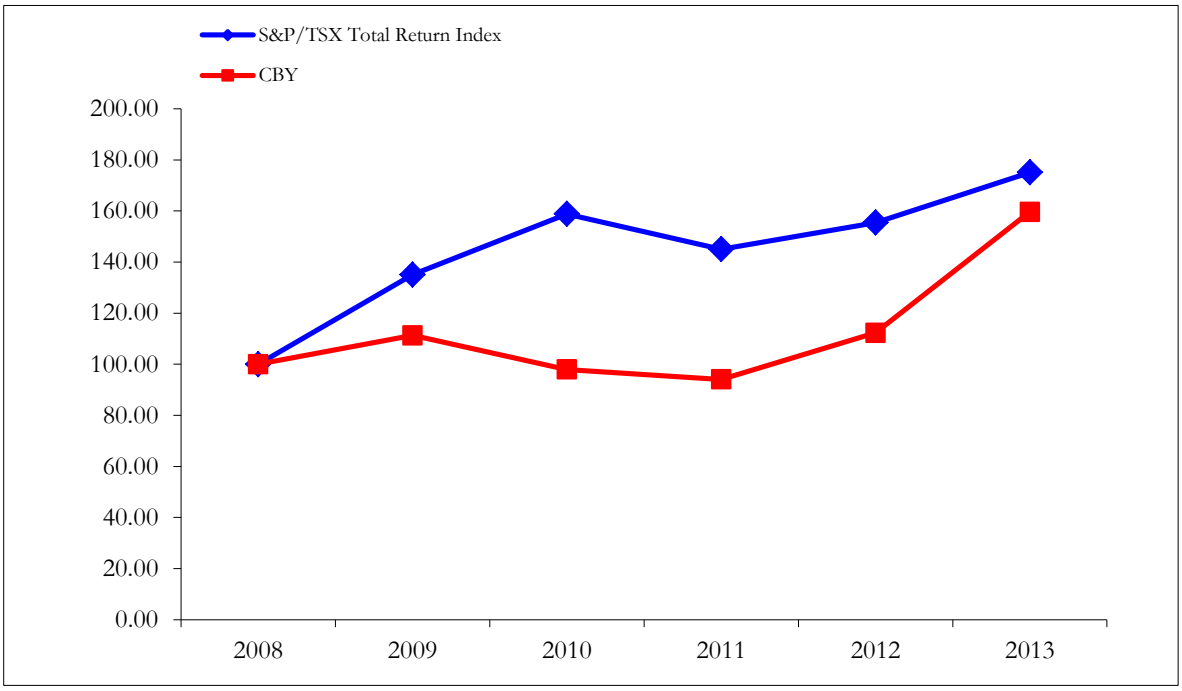
On October 21, 2013, Maple Leaf Foods announced that it was exploring strategic alternatives for its bakery business. The Corporation announced that it had established a special committee comprised of its independent directors to ensure that all of its shareholders were treated fairly and that the Corporation's interests were taken into account during the process. The process resulted in an agreement dated as of February 11, 2014 between the Corporation and Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") wherein Grupo Bimbo agreed to acquire all of the issued and outstanding common shares of Canada Bread pursuant to an arrangement agreement (the "Arrangement Agreement").

In 2014 the Corporation entered into retention agreements with a number of senior managers (the "Retained Officers") in connection with the process to sell the Corporation. The agreements were aimed at ensuring the Retained Officers would be able to perform their duties without distraction and addressing concerns regarding how a possible sale of the Corporation would affect their position with the Corporation. Those arrangements are described on page 15 of this Statement.

In connection with the sale process, the Corporation also entered into an incentive bonus plan based on the sale value of Canada Bread to ensure that the senior executives had the financial motivation to maximize the proceeds for all shareholders. The aggregate amount of the incentive amounts that will be payable to the senior executives in connection with the closing of the transaction with Grupo Bimbo is approximately $4.7 million in the aggregate.

SHARE PERFORMANCE TABLE

The following chart compares the total cumulative shareholder return of $100 invested in common shares for the period January 1, 2009, to December 31, 2013, with the cumulative total return of the S&P/TSX Composite Total Return Index for the same period. The Common Shares closed at $69.00 on the TSX on December 31, 2013.



	Jan. 1 2009	Dec. 31 2009	Dec. 31 2010	Dec. 31 2011	Dec. 31 2012	Dec. 31 2013
S&P/TSX Composite Total Return Index	100.0	135.1	158.8	145.0	155.4	175.1
Canada Bread Company, Limited	100.0	111.2	97.9	94.0	112.2	159.6

Comparison of Executive Compensation and Shareholder Returns

For the five years of compensation in the measurement period, compensation of the five executives who were NEOs decreased by 31%, while the total shareholder return on the Corporation's shares was a gain of 60%. The following table shows the shareholder return and total compensation for that period. Much of the variability in the aggregate reported compensation for the NEOs is attributable to the annual STI plan. Payouts for the plan were low in 2012 and 2013.

It is important to note that the total compensation includes the full earnings for both the CEO and the CFO, who are paid by the Corporation's parent company, Maple Leaf Foods. Compensation decisions regarding the CEO and CFO are made by the Board and the Human Resources and Compensation Committee of Maple Leaf Foods and then reviewed with the Governance Committee of Canada Bread. The CEO's and CFO's compensation is borne partially by Canada Bread and partially by Maple Leaf Foods through a shared services agreement.

	Total 2009-2013	2013	2012	2011	2010	2009
Total Shareholder Return:						
S&P/TSX Composite Total Return Index	75%	13%	7%	-9%	18%	35%
Canada Bread [(1)]	60%	42%	19%	-4%	-12%	11%
Total Compensation for All NEOs ($ millions) [(2)]	$44.6	7.5	6.3	9.6	10.4	10.8

Notes:

(1) Total shareholder return is calculated on the basis of the year-end share value with dividends reinvested. The amount in the "Total 2009–2013" column is the aggregate simple return over the five-year period.

(2) The total compensation shown for all NEOs is the total compensation as that term is defined for purposes of the Summary Compensation Table for the executives who were NEOs in the year reported.

SUMMARY COMPENSATION TABLE

The following table provides a summary of compensation earned during each of the last three fiscal years by the CEO, the CFO and the three most highly compensated executive officers other than the CEO and CFO, including any individual who held the particular position during the year. The CEO, CFO and other executive officers are referred to collectively as the "NEOs". This information is given as of December 31, 2013, the end of the most recently completed financial year of the Corporation.

Name and Principal Position	Year	Salary	Share-based awards[2]	Option-based awards[3]	Annual incentive plans	Long-Term incentive plans	Pension Value[4]	All other compen-sation[5][7]	Total compen-sation
R.A. LAN[6] [1]	2013	909,049	1,275,750	1,274,612			10,505	405,849	3,875,765
President, Chief Executive Officer	2012	863,613					9,996	2,974,983	3,848,592
	2011	840,709	1,277,530	1,287,611	584,293		9,693		3,985,761
M.H. VELS[6]	2013	685,348	659,363	660,158			126,940		2,131,809
Executive Vice President, and Chief Financial Officer	2012	670,852					111,873		782,725
	2011	660,000	660,418	658,944	458,700		34,878		2,472,940
C. IRWIN[1]	2013	328,088	166,017		66,457		25,442		586,004
President, UK Bakery	2012	285,348			54,508		21,146		361,002
	2011	253,444	110,431		50,469		20,286		434,630
D.J. CURTIN[1]	2013	381,068	124,408	125,261	190,792		10,505		832,034
President, Frozen Bakery	2012	302,652	200,291		52,833		9,693		565,468
	2011	301,712	194,174		154,669		10,093		660,648
C.B. McLEAN	2013	573,968	349,474	350,391	87,928		108.523		1,470,284
President, Fresh Bakery	2012	564,552			138,690		98,708		801,950
	2011	548,800	357,275	357,984	72,150		99,369		1,435,578

Notes:

(1) All compensation shown for Mr. Lan and Mr. Curtin, other than equity-based compensation amounts, is paid in U.S. dollars. The amounts in the table above were converted to Canadian dollars using the average exchange rate of the U.S. dollar expressed in Canadian dollars for the year: 1.0299 in 2013, 0.9996 in 2012, and 0.9891 in 2011. Mr. Irwin is based in the U.K. and paid in pounds sterling. The amounts in the table above were converted to Canadian dollars using the average exchange rate of the pound sterling expressed in Canadian dollars for the year: 1.6113 in 2013, 1.58399 in 2012, and 1.58607 in 2011.

(2) To align LTIP awards to a three (3) calendar year performance period, the start of the LTIP grant process was moved to the beginning of the calendar year in 2013. The LTIP grants that would have been awarded in October of 2012 were delayed to January 2013. As a result of this change, executives did not receive an LTIP award in calendar year 2012.

The RSUs have been valued using assumptions and methodology consistent with those for valuing the expense for accounting purposes. However, no discount for potential forfeiture of RSUs due to termination of employment was factored into the valuation. Awards are made with the belief that the executive will remain employed during the vesting period. For accounting purposes, an estimate is made of forfeitures due to termination of employment based on past experience. The assumptions used for accounting purposes are found in Note 24 of the financial statements of Maple Leaf Foods Inc. for the years ended December 31, 2013 and 2012. The financial statements may be found on the Maple Leaf Foods Inc. website at www.mapleleaffoods.com and the financial statements of the Corporation may be found on the Corporation's website at www.canadabread.ca and on SEDAR at www.sedar.com.

(3) As noted in footnote (2) above, the LTIP grant that would have been granted in October 2012 was deferred to January 2013.

(4) Messrs. Lan, Curtin and Irwin participate in the defined contribution pension plans of the Corporation. Mr. McLean is a member of the Canada Bread defined benefit pension plans, while Mr. Vels belongs to the Maple Leaf Foods defined benefit pension plans. The amount in the table above represents the compensatory pension expense related to the service for each of the NEOs, including the impact of differences between actual compensation paid in the year and the actuarial assumptions used for that year. The amounts shown for Mr. Lan and Mr. Curtin are for the Corporation's contribution to a defined contribution 401(k) plan in the United States. The amount shown for Mr. Irwin is in respect of contributions to the Corporation's defined contribution pension plans in the UK.

(5) The table does not include the value of perquisites, which are less than $50,000 and less than 10% of salary for all executives.

(6) Messrs. Lan and Vels do not receive any separate or additional compensation for service on the Board of the Corporation as a director.

(7) In 2012, Maple Leaf Foods determined that for a number of years it had not made certain payroll tax deductions and remittances in all required jurisdictions for certain cross-border employees who are required by it to perform some of their work away from their home base, including Mr. Lan, the President and CEO of the Corporation. Maple Leaf Foods made the necessary corrections, paid the required payroll tax remittances and implemented a tax equalization policy under which it reimburses employees for the net additional taxes that result from work in a foreign jurisdiction. The Corporation bears a portion of these costs through its shared services agreement with Maple Leaf Foods.

The tax equalization cost for Mr. Lan related to the 2013 tax year was $405,849 and for 2012, $543,400. In addition, the cost of the tax equalization for the 2005 through 2011 period incurred in 2012 was $2,602,935. During 2012, Mr. Lan's principal office was relocated from the US to the Greater Toronto Area ("GTA") in Canada. Maple Leaf Foods considers Mr. Lan's travelling costs from his home base in the U.S. to Canada and work-related accommodation in the GTA to be primarily for Maple Leaf Foods' benefit, and pays for those costs and has reimbursed Mr. Lan for related income taxes. The tax reimbursement is included in the amount for All Other Compensation paid to Mr. Lan and reported above.

SHARE-BASED INCENTIVE PLANS

Maple Leaf Foods has a number of equity incentive plans for its employees and the executive officers and employees and executive officers of its subsidiaries, including Canada Bread. There are currently two plans under which awards are outstanding: the 2004 Share Incentive Plan and the 2006 RSU Plan. The 2004 Share Incentive Plan provides for the grant of options and RSUs that are satisfied by the issuance of shares of Maple Leaf Foods from treasury. The 2006 RSU Plan provides for the grant of time or performance vested RSUs and performance vested PSUs that are satisfied through the acquisition of shares in the market by a trust established for that purpose. From 2006 to 2010, share options were not granted as performance vested RSUs were used as the exclusive equity based long term compensation. In 2011 and 2013, time vested options, time vested RSUs and performance vested PSUs were granted. The options were granted under the 2004 Share Incentive Plan and the RSUs and PSUs were granted under the 2006 RSU Plan.

The share options granted in 2011 and 2013 and the RSUs granted in 2011and 2013 are subject to time vesting only. The PSUs granted in 2011 and 2013 have a performance vesting feature based on the achievement of three year EBITDA margin and RONA targets of Maple Leaf Foods.

OUTSTANDING RSUs AND SHARE OPTIONS

	Option Based Awards				Share-Based Awards[5] [6]			
Name	Number of Securities Underlying Unexercised Options #	Option Exercise Price $	Option Expiration Date[1]	Value of unexercised in-the-Money Options[2] $	Type of Award	Date of Grant	Number of Shares or Units of Shares That Have Not Vested[3] #	Market or Payout Value of Share-Based Awards That Have Not Vested[4] $
Lan, R.A.	402,000	$11.36	October 1, 2018	2,182,860	PSU	October 1, 2011	118,000	1,981,220
	376,500	$11.85	January 7, 2020	1,859,910	RSU	October 1, 2011	59,000	990,610
					PSU	January 7, 2020	112,800	1,893,912
					RSU	January 7, 2020	56,400	946,956
Vels, M.H.	208,000	$11.36	October 1, 2018	1,129,440	PSU	October 1, 2011	61,000	1,024,190
	195,000	$11.85	January 7, 2020	963,300	RSU	October 1, 2011	30,500	512,095
					PSU	January 7, 2020	58,300	978,857
					RSU	January 7, 2020	29,150	489,429
Irwin, C.					PSU	October 1, 2011	10,200	171,258
					RSU	October 1, 2011	5,100	85,629
					PSU	January 7, 2013	10,200	171,258
					RSU	January 7, 2013	5,100	85,629
Curtin, D.	37,000	$11.85	January 7, 2020	182,780	PSU	October 1, 2011	18,500	310,615
					RSU	October 1, 2011	9,250	155,308
					PSU	January 7, 2020	11,000	184,690
					RSU	January 7, 2020	5,500	92,345
McLean, C.B.	113,000	$11.36	October 1, 2018	613,590	PSU	October 1, 2011	33,000	554,070
	103,500	$11.85	January 7, 2020	511,290	RSU	October 1, 2011	16,500	277,035
					PSU	January 7, 2020	30,900	518,811
					RSU	January 7, 2020	15,450	259,406

Notes:

(1) All options were granted with a term of seven years but expire earlier if the executive ceases to be an employee. The options vest in three equal annual installments. The options expiring in 2018 were two-thirds vested as at December 31, 2013. The options expiring in 2020 are all unvested.

(2) The in-the-money value was calculated using the December 31, 2012 closing share price ($16.79) of the Maple Leaf Foods shares on the TSX.

(3) RSUs have been granted under the 2006 RSU Plan. The RSUs are time-vested only over approximately 3 years. The PSU grants vest based on the achievement of cumulative EBITDA margin and RONA targets for Maple Leaf Foods for a three year period - 2011 through 2013 for the 2011 grant and 2013 through 2015 for the 2013 grant. (The performance criteria are more fully described on under the heading "Long- Term Incentive Plan" on pages 7 and 8 of this Statement.) Depending on the performance, between zero and two shares will vest for each PSU. The number of shares shown in the table above is the maximum number of shares that will be distributed, assuming the Corporation's performance exceeds the maximum performance level.

(4) In March 2014, following approval of the financial statements for 2013, it was determined that the minimum level of achievement was not reached for PSUs granted in 2011 and as a result no shares will vest.

(5) In respect of the RSUs and PSUs granted, the "market or payout value" is based on:

(i) the Maple Leaf Foods share price at December 31, 2013 on the TSX of $16.79; and,

(ii) the minimum number of shares that will be distributed. Under the performance vesting formula, the minimum number of shares that may be distributed on the maturity of the PSUs granted in 2011 is zero. As disclosed in footnote (4), the actual vesting for the 2011 PSU grants is zero.

(6) The share-based RSUs and PSUs are distributed immediately on vesting in the form of shares or the cash equivalent, determined at the time of distribution at the option of Maple Leaf Foods. There are no undistributed vested awards.

INCENTIVE PLAN AWARDS – VALUE VESTED OR EARNED IN THE YEAR

Name	Option-Based Award – Value Vested During the Year	Share-Based Award – Value Vested During the Year[1]	Non-Equity Incentive Plan Compensation – Value Earned During the Year[2]
		$	$
R.A. Lan[3]	249,240	1,864,080	0
M.H. Vels	128,898	845,050	0
C. Irwin[3]	0	102,524	66,457
D.J. Curtin[3]	0	129,709	190,792
C.B. McLean	70,122	437,282	87,928

Notes:

(1) In 2013, RSUs granted in October 2010 vested. In both cases, the minimum performance vesting was reached. The March 2010 grant was distributed in the form of shares on May 6, 2013 valued at $12.68. The Board of Directors amended the 2006 RSU Plan in 2013 to allow either shares or the equivalent cash value to be distributed. For each share vested under the October 2010 grant, $15.54 in cash was distributed on November 13, 2013 being the weighted average trading price on that day.

(2) The amounts in this column represent the payments under the STI annual plan, the details of which are described under the subheading "Short-Term Incentive (STI)" on pages 6 and 7 of this Statement. Due to the below-budget performance of Maple Leaf Foods, no STI amounts were paid for 2013 to Messrs. Lan and Vels.

(3) Messrs. Lan and Curtin are paid in US dollars and Mr. Irwin in British pounds sterling. The amounts in the table are in Canadian dollars.

PENSION PLANS

Mr. Lan and Mr. Curtin participate in Maple Leaf Foods' qualified 401(k) plan in the United States. Mr. Vels participates in Maple Leaf Foods' registered defined benefit and non-registered supplemental defined benefit plans in Canada. Mr. McLean participates in the Corporation's registered defined benefit plan, and non-registered supplemental defined benefit plans in Canada. Mr. Irwin participates in Maple Leaf Foods' defined contribution pension plan in the United Kingdom. Each of the defined benefit plans applies to a closed group of salaried employees.

PENSION TABLE – DEFINED BENEFIT PLANS

The table below shows the following for each NEO participating in the Corporation's and Maple Leaf Foods', as applicable, defined benefit pension plans:

- Years of credited service as at December 31, 2013 and at the NEO's age of 65;
- Estimated annual benefit accrued, or earned, for service up to December 31, 2013and up to the normal retirement age of 65; and,
- A reconciliation of the accrued obligation from December 31, 2012 to December 31, 2013.

Name	Number of Years of Credited Service[1]		Annual Benefits Payable[2]		Opening Present Value of Defined Benefit Obligation[3]	2013 Compensatory Change[4][7]	2013 Non-Compensatory Change[5][7]	Closing Present Value of Defined Benefit Obligation[6][7]
	At December 31, 2013	At Age 65	At December 31, 2013	At Age 65				
			$	$	$	$	$	$
M.H. Vels	22.5	34.9	289,703	449,576	3,334,941	126,940	(339,639)	3,122,242
C.B. McLean	13.2	24.0	138,962	253,269	1,525,705	108,523	(160,555)	1,473,673

Notes

(1) The Number of Years of Credited Service as at December 31, 2013 corresponds to the actual years of service with the Corporation and subsidiaries and Maple Leaf Foods. The Number of Years of Credited Service at age 65 is the sum of the number of years of credited service as at December 31, 2013 and the projected years of credited service from December 31, 2013 to the date the executive turns 65. Although the Corporation's pension plans do not prohibit granting years of service in addition to years of membership, this option has been used infrequently in the last 10 years.

(2) The Annual Benefits Payable is the amount of lifetime pension payable in the normal form. Messrs. Vels and McLean were not eligible to retire at December 31, 2013. For them, the amount of Annual Benefit Payable at December 31, 2013 is the annual pension the NEO would have been entitled to on termination of employment at that time. The amount is payable from age 65 onwards. The amount is based on the years of credited service earned to December 31, 2013 and on average pensionable earnings at December 31, 2013. For all NEOs, the Annual Benefit Payable at age 65 is the Annual Benefit Payable at December 31, 2013, increased to reflect credited service at age 65. Pensionable earnings are composed of salary only and exclude annual cash incentive payments and other compensation. The NEOs are fully vested in their pension entitlements earned to December 31, 2013.

(3) The Opening Present Value of Defined Benefit Obligation is the value of the projected pension earned for service to December 31, 2013. The values have been determined as at December 31, 2013, based on actual pensionable earnings adjusted to reflect expected increases to retirement.

(4) The 2013 Compensatory Change is the value of the projected pension earned for service during 2013 as well as experience gains and losses arising from the NEO's salary increase for the year being greater or lesser than the assumption used. The values have been determined as at December 31, 2013 based on actual pensionable earnings adjusted to reflect expected increases to retirement.

(5) The 2013 Non-Compensatory Change includes interest accruing on the beginning-of-year obligation, other experience gains and losses, and changes in interest rate assumptions resulting from changes in long-term bond yields.

(6) The Closing Present Value of Defined Benefit Obligation is the value of the projected pension earned for service to December 31, 2013. The values have been determined as at December 31, 2013, based on actual pensionable earnings adjusted to reflect expected increases in pensionable earnings.

(7) The calculations of reported amounts use the same actuarial assumptions and methods that are used for calculating accrued benefit obligations and annual expenses, as disclosed in the Corporation's 2013 and 2012 consolidated financial statements at Note 9, and as prescribed by the International Financial Reporting Standards. The methods and assumptions used to determine estimated amounts will not be identical to the methods and assumptions used by other issuers and, as a result, the figures may not be directly comparable across issuers. In accordance with International Financial Reporting Standards, the amounts above make no allowance for the different tax treatment of the portion of pension not paid from the registered pension plans. All amounts shown above are based on assumptions and represent contractual entitlements that may change over time.

PENSION TABLE – DEFINED CONTRIBUTION PLANS

The table below shows a reconciliation of the account balances from December 31, 2012 to December 31, 2013 for the NEOs participating in the Corporation's qualified 401(k) plan in the United States.

Mr. Irwin participates in a Group Personal Pension Plan for UK employees. The account maintained for Mr. Irwin, as with those for other employees in the UK, is personal to Mr. Irwin and the Corporation's involvement is limited to contributions. Accordingly, no information is available or provided.

Name	Accumulated Value at December 31, 2012[(1)] $	2013 Compensatory Change[(2)] $	Accumulated Value at December 31, 2013[(1)] $
R.A. Lan	601,261	10,505	895,850
D.J. Curtin	165,346	10,505	273,994

Notes:

(1) The accumulated value of the pension account is held in US dollars and is translated to Canadian dollars using the exchange rates of $1.1.0636 per US$1.00 as at December 31, 2013 and $0.9968 per US$1.00 as at December 31, 2012. Amounts other than the year-end balances have been converted using an average exchange rate for the year of $1.0299 per US$1.00.

(2) The 2013 Compensatory Change amount is the contribution made by the Corporation to the plan in 2013 in respect of the NEO, and is based on eligible earnings in 2013.

SUMMARY OF DEFINED BENEFIT PLAN PROVISIONS (CANADA)

Messrs. Vels and McLean participate under defined benefit plans, as summarized below. Pension benefits are determined based on the member's credited service in the plan and average pensionable earnings at retirement. Average pensionable earnings are calculated as the highest average of the member's pensionable earnings (salary, excluding annual cash incentive payments and other compensation) earned over 60 months in the last 120 months of earnings preceding retirement. Retirement income is payable for the lifetime of the member with a minimum guarantee of 60 monthly payments. Payment options of actuarially equivalent value are also available.

The annual pension benefit is determined as follows:

- Multiply years of credited service (up to 35 years) by:
- The sum of:
  - 1.3 percent of average pensionable earnings up to the average of the last five years maximum pensionable earnings limits under the Canada/Quebec Pension Plans ("final average YMPE"); and
  - 2 percent of the excess of average pensionable earnings above the final average YMPE.

This pension is determined without regard to the maximum pension limit for registered pension plans under the *Income Tax Act* (Canada), with the amount in excess being paid under the supplemental non-registered plan.

The normal retirement age is 65, but members may elect to start their pension anytime between the ages of 55 and 71. There is no reduction to a member's pension if retirement occurs on or after attaining 60 years of age. If a member retires between age 55 and 60 and their age plus years of continuous service total at least 85 points, their pension will be reduced by 0.5 percent for each month that retirement is before age 60. Otherwise, pensions are reduced on an actuarial equivalent basis.

Designated executives (which include NEOs) are not required to contribute to the plan.

SUMMARY OF DEFINED CONTRIBUTION PLAN PROVISIONS (U.S. 401(K))

Mr. Lan and Mr. Curtin participate in the Maple Leaf Foods USA Retirement Plan which is a qualified 401(k) plan that is available to employees on a voluntary basis. Employees may elect to contribute annually up to 60% of their eligible earnings up to a maximum of $17,500 in 2013. Eligible earnings include salary, annual cash incentive payments and other compensation to a yearly maximum amount. In 2013, the maximum was US$255,000. The Corporation matches 100% of the participant's annual contribution for the first 3.0% of eligible earnings plus 50% for the next 2.0% of eligible earnings to a maximum match of 4%. Contributions are deposited into the participant's account and invested based on the investment elections made by the participant. The Corporation's portion of a participant's account vests immediately. Participants are permitted, while employed by the Corporation, to make withdrawals from their account after attaining 59 ½ years of age. Otherwise, a participant's account is distributed when the participant leaves the Corporation or becomes permanently disabled. A non-qualified benefit plan is not offered by the Corporation.

Termination and Change of Control Benefits

The Corporation has entered into retention agreements with a number of senior managers (the "Retained Officers") in connection with the process to sell the Corporation. The process resulted in an agreement to sell all of the Corporation's issued and outstanding common shares to Grupo Bimbo under a plan of arrangement. Three Named Executive Officers, Messrs. McLean, Curtin and Irwin, are Retained Officers. The retention agreements were aimed at ensuring the Retained Officers would be able to perform their duties without distraction and addressing concerns regarding how a possible sale of the Corporation would affect their position with the Corporation.

These retention agreements generally provide that the Retained Officers are entitled to receive severance pay ranging from 12-24 months of base pay and annual bonus at the target level, if within 18 months after the sale of the Corporation, the Retained Officer (a) is terminated without cause, or (b) terminates his or her own employment after the occurrence of certain events, including (i) a material reduction in the Retained Officer's responsibilities, (ii) a reduction in base salary, or (iii) a material reduction in benefits.

The Human Resources and Compensation Committee of Maple Leaf Foods has established rules for the expiry of units held by employees under the 2006 RSU Plan and for options held under the 2004 Share Incentive Plan on termination of employment. These rules, which are detailed below, apply to all participants in the plan including those who are NEOs or other employees of Canada Bread.

Reason for Termination of Employment	Termination of RSUs	Termination of Options
Termination by the Corporation for Cause	RSUs held expire on the date of termination.	Options held expire on the date of termination.
Termination by Voluntary Resignation	RSUs held expire on the date of termination.	Options held expire 30 days following the date of termination.
Termination by the Corporation Without Cause	RSUs granted less than six months before the date of termination expire on termination.	Unvested options held expire on the date of termination.
	RSUs granted more than six months before the date of termination – a proportionate[(1)] number of units continue to be held to the maturity/distribution date.	Vested options held expire 30 days following the date of termination.
Retirement from the Industry[(2)]	RSUs granted less than six months before the date of termination expire on termination.	Options granted less than six months before the date of termination expire on termination.
	RSUs granted more than six months before the date of termination continue to be held to the maturity/distribution date.	Options granted more than six months before the date of termination continue to be held until exercised or the normal expiry date.

Reason for Termination of Employment	Termination of RSUs	Termination of Options
Normal Retirement[3]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination continue to be held to the maturity/distribution date.	Unvested options that do not, in accordance with term of the award, vest within 11 months of the date of retirement expire on the date of retirement. Vested options as of the date of retirement and options that, in accordance with term of the award, vest within 11 months of the date of retirement expire 12 months following the date of retirement
Early Retirement[4]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination – a proportionate[1] number of units continue to be held to the maturity/distribution date.	Unvested options that do not, in accordance with term of the award, vest within 11 months of the date of retirement expire on the date of retirement. Vested options as of the date of retirement and options that, in accordance with term of the award, vest within 11 months of the date of retirement expire 12 months following the date of retirement.

Notes:

(1) On maturity, the employee will receive a proportion of the distribution he or she would have been entitled to had he or she remained employed with the Corporation. The proportion is equal to (a) the number of months from the date of grant to the date of termination, to (b) the number of months from the date of grant to the distribution date. For example, assume an employee was granted RSUs in an award with a three year vesting period. If the employee is terminated by the Corporation without cause or takes early retirement after one year, one-third of the full amount of the final distribution will be distributed.

(2) Retirement from the industry is defined as termination of employment other than by the Corporation for cause, at the time when the employee is 55 or older with a minimum of five (5) years of service and the employee agrees not to provide any services directly or indirectly to any company or other organization that competes with the Corporation in the industry in which the executive was engaged by the Corporation.

(3) Normal retirement is defined as termination of employment other than by the Corporation for cause, at the time when the employee is 60 years or older and has at least 10 years of service.

(4) Early retirement is defined as termination of employment other than by the Corporation for cause, at the time when the employee is 55 years or older and has at least 10 years of service.

DIRECTOR AND EXECUTIVE COMPENSATION

Directors of the Corporation received remuneration for their services during the 2013 financial year in the aggregate amount of $391,000. Retainers for Board and committee service are paid quarterly in arrears. These retainers are paid starting after the election of the directors at each annual meeting and are in respect of service on the Board for the period commencing then and ending on the date of the next annual meeting. The fee schedule was amended effective July 1, 2010. Under the amended fee schedule, fees for attendance at meetings were eliminated.

Fee schedule effective July 1, 2010:

Fee for service as a director	$120,000
Fee for service as Chair of the Audit Committee	$15,000
Fee for service as Chair of the Governance Committee	$10,000
Fee for service as a member of a committee	$1,500

The Governance Committee has recommended that a portion of the annual retainer be used to purchase Common Shares. Directors who are officers of the Corporation or any subsidiary company or of Maple Leaf Foods do not receive fees. Directors are also reimbursed for travel and other out-of-pocket expenses incurred in attending Board or committee meetings.

Name	Fees Earned ($)	Share-Based Awards ($)	Option Board Awards ($)	Non-Equity Incentive Plan Compen-sation ($)	Pension Value ($)	All Other Compen-sation ($)	Total ($)
William E. Aziz	136,500						136,500
Sarah A. Everett	123,000						123,000
John F. Petch	131,500						131,500
Total	391,000	–	–	–	–	–	391,000

Special Committee

The Special Committee of the Corporation concerning the Grupo Bimbo S.A.B. de C.V. transaction was officially formed at the start of October 2013 and its mandate will end on closing of the Plan of Arrangement scheduled for May 23, 2014.

On February 11, 2014 the Board of the Corporation approved a fee of $75,000 for the Chairman of the Special Committee and $60,000 for each of the other members of the Special Committee. These fees accrued over the 2013-2014 period and will be paid in 2014.

Mr. W.E. Aziz resigned from the Board and the Special Committee on March 7, 2014, prior to the time the Special Committee's mandate was completed. The Corporation follows a policy of prorating director and committee retainers to the date of joining or retiring from the Board and standing committees. At its meeting on May 15, 2014, the Board awarded a prorated fee of $55,000 payable to Mr. Aziz for his service as a member of the Special Committee.



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